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# BOARD RESOLUTION

## Approval of Executive Compensation

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### Organization Information

Organization Name: \_\_\_\_\_

State of Incorporation: \_\_\_\_\_

Date of Meeting: \_\_\_\_\_

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### PURPOSE

This resolution documents the approval of compensation for an executive officer of the organization in accordance with Internal Revenue Service (IRS) requirements for **reasonable compensation** and avoidance of private inurement.

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### EXECUTIVE BEING COMPENSATED

Name: \_\_\_\_\_

Title: Executive Director (or applicable title)

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### DISCLOSURE OF INTEREST

The Board acknowledges that the above-named individual may be:

- A founder of the organization
- A member of the Board of Directors

The individual **did not participate in discussions or voting** related to their compensation.

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## COMPENSATION REVIEW PROCESS

The Board of Directors has:

- Reviewed compensation data for similar roles in comparable nonprofit organizations
- Considered the size, scope, and complexity of the organization
- Evaluated the duties and responsibilities of the Executive Director
- Determined that the proposed compensation is **reasonable and not excessive**

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## APPROVED COMPENSATION

The Board hereby approves the following compensation:

- Annual Salary: \$ \_\_\_\_\_
- Payment Schedule: \_\_\_\_\_ (e.g., bi-weekly)

Optional (if applicable):

- Bonus Structure: \_\_\_\_\_
- Benefits (if any): \_\_\_\_\_

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## EFFECTIVE DATE

This compensation shall become effective on: \_\_\_\_\_

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## ONGOING REVIEW

The Board agrees to:

- Review executive compensation at least annually
- Adjust compensation as necessary based on performance, funding, and organizational growth

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## CERTIFICATION

The undersigned certify that:

- This resolution was approved by a majority vote of disinterested members of the Board of Directors
- The decision was made in good faith and in the best interest of the organization
- Proper procedures were followed to ensure compliance with applicable laws and regulations

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## SIGNATURES

Board Chair Name: \_\_\_\_\_

Signature: \_\_\_\_\_

Date: \_\_\_\_\_

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Board Member Name: \_\_\_\_\_

Signature: \_\_\_\_\_

Date: \_\_\_\_\_

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Board Member Name: \_\_\_\_\_

Signature: \_\_\_\_\_

Date: \_\_\_\_\_